this expression gives $\varsigma(x) = \left(\frac{x}{\sigma_2 a^{\rho}}\right)^{1/(1-\rho)} s(x)$. The last two equations yield $s(x) = \hat{\kappa}\left[\frac{1}{\sigma_1}\left(\frac{x}{\sigma_2 a}\right)^{\rho/(1-\rho)} - \frac{\sigma_2}{\sigma_1}\right]^{-1/\rho}$, which by defining

$$\varepsilon = \sigma_2 a\,(\sigma_1+\sigma_2)^{(1-\rho)/\rho} \text{ and } \sigma = \frac{\sigma_1}{\sigma_1+\sigma_2} \tag{41}$$

can be rewritten as $H(x) = 1 - \hat{\kappa}\left[\frac{1}{\sigma}(\frac{x}{\varepsilon})^{\rho/(1-\rho)} - \frac{1-\sigma}{\sigma}\right]^{-1/\rho}$. The requirement that $H(R) = 0$ implies that $\hat{\kappa} = \kappa$ (with κ as defined in Subsection 6.2). After specifying that $H(x) = 0$ for $x < R$, this expression is identical to (38). So by construction, aggregation under (38) yields (40). And after letting $\hat{\kappa} = \kappa$ and making the substitutions in (41), one realizes that (40) is identical to the aggregate in Proposition 4. Finally, verifying that (38) is the truncation of (37) at R concludes the proof. ||

To complete the analysis of Section 5, here I report the effects of all policies on market tightness:

$$\frac{\partial\theta}{\partial\tau_e} = \frac{-(1-\beta)\theta q(\theta)(\varepsilon/R)^{\alpha}\tau(R)}{c\eta(\theta)(r+\delta+\lambda)R}\frac{\partial R}{\partial\tau_e} > 0,\ \frac{\partial\theta}{\partial\tau_h} = \frac{1-\beta}{\beta c}\left[1-\frac{\lambda(\varepsilon/R)^{\alpha}}{r+\delta+\lambda}\right]\frac{\partial R}{\partial\tau_h} > 0,$$
$$\frac{\partial\theta}{\partial\tau_b} = \frac{-(1-\beta)\theta q(\theta)(\varepsilon/R)^{\alpha}\tau(R)}{c\eta(\theta)(r+\delta+\lambda)R}\frac{\partial R}{\partial\tau_b} < 0,\ \frac{\partial\theta}{\partial\tau_f} = \frac{1-\beta}{\beta c}\left\{r+\left[1-\frac{\lambda(\varepsilon/R)^{\alpha}}{r+\delta+\lambda}\right]\frac{\partial R}{\partial\tau_f}\right\}.$$

Without additional restrictions, the sign of $\partial\theta/\partial\tau_f$ is ambiguous. It is negative in any equilibrium with $\phi > \phi_\epsilon$ if $\delta > r(1-\varepsilon)/\varepsilon$.

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